careers Shop about gallery contacts

RENT THE RUNWAY

SHWETA MITTAL - COHORT 2

QUALITATIVE ANALYSIS

CUSTOMER SEGMENT

- Initially targeting women aged 15 to 30
- Expanded to Women in 30s and older
- Market Trails: Deamnd tests at Harvard and Yale

POSITIONING STRATEGY

- ***Consumer*** : Make women feel more confident and beautiful
- ***Designer*** : 98% are new brand customers on RTR with 90% of them to likely purchase it from the brand store

CHALLENGES

- Getting women comfortable with idea of renting
- Technical constraints for managing operations
- Cash flow break even v/s operational effectiveness
- Product line expansion v/s website upgrade v/s Logistics v/s product depth focus

UNIQUE VALUE PROPOSITION

WHY RENT THE RUNWAY

- Fee ranged from $50 to $300 for a 4 day rental
- Upto 8 days of rental for premium members
- Only registered emails get access to website
- Same dress in extra size free of shipping charges
- One on one personal stylist recommendation

COMPETITORS

Avelle

WEAR TODAY™
GONE TOMORROW
borrow like a celebrity from the ultimate fashion closet

SUCCESSFUL KEY FACTORS

- Publicity efforts → 60% customer capture
- Word of Mouth → 40% customer capture
- 20$ credit for each referral
- Facebook ads
- Pay per click search engine marketing

QUANTITATIVE ANALYSIS

Total Addressable Market
→
Women between 15-30
and Women above 30

Women 15–30
~ 32.3 million women

Women 30+
~108 million women

= ~140 million women

= ~41 million women

SRC

= ~30 million women

Publicity efforts → ~ 84 million
Word of Mouth → ~ 56 million

- ~ 30 % women dont shop high end luxury goods, SRC
- 98% of RTR's customers rented brands they had never owned

- As per market trial in Harvard and Yale, women wanted to try on dress range between $35 - $75 and 75% wanted to rent + costribution margin per rental is $59

Let's assume we try to capture 10% of TAM
possible revenue genration would be 0.1*30*59 =
~177 million dollars

Metric	Value
Retail price	$750
Cost to RTR	$226
Revenue per rental	$90
Variable cost per rental	$31
Contribution margin per rental	$59

- Hence, Gross margin per rental = ~**66%**
- Break-Even Rentals per Dress = 226/59 = **~ 4 rentals**
- Assuming, rental period is 10 days on an average and 60% of inventory rented at any time

  Effective utilization ~ 1.8 rentals/month/dress
  So, Annual Contribution per Dress = 12* 1.8* 59 = **~ $1275/dress**

- Scaling Scenario: Inventory Expansion to 1000 to 5,000 Dresses

  Capital Required = 4000*226 = ~ **$904,000**
  Annual Contribution from Incremental Inventory = 1275*4000 = **~$ 5.1 million**

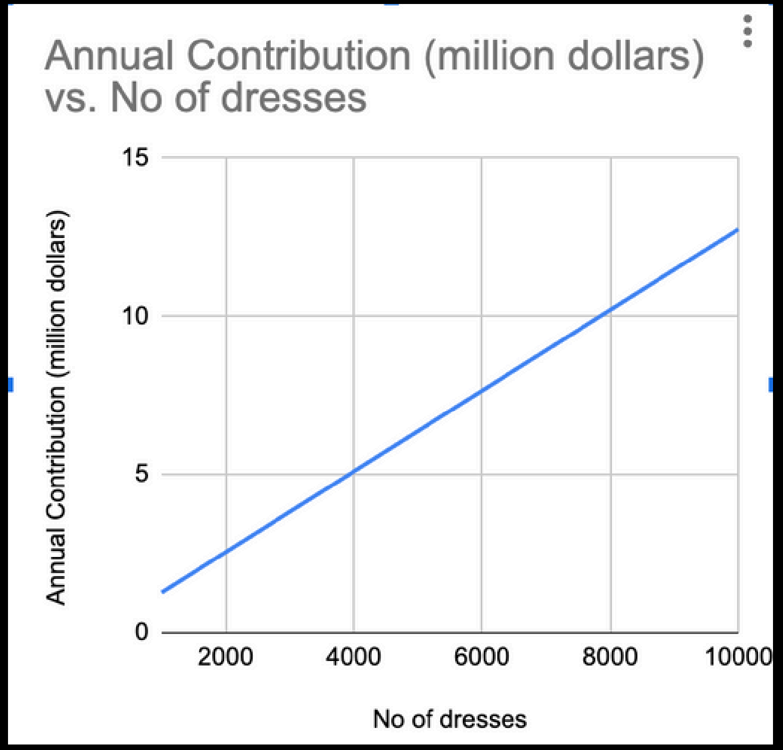
RECOMMENDATION

ACCELERATE FUNDRAISING IN ORDER TO EXPAND INVENTORY, ENABLING RTR TO SERVE A BROADER SET OF CUSTOMER SEGMENTS AND USAGE OCCASIONS

Quant Verdict:

- RTR has already achieved proof of concept. Raising capital now to scale inventory and experience is financially justified and value-maximizing despite dilution.

Supporting Evidence:



- As per the case, Demand of their service is clearly strong. So, they dont need to worry about stickiness since 12.5% of the customers already come back within just 2 months to rent again.
- **Strong Growth Channels** with Publicity efforts → 60% and Word of Mouth → 40%
- **Supply-Constrained** with waitlists of up to 50,000 customers and 60% of inventory was rented at any given time, Hence Customer demand has already exceeded operational capacity. Slower growth would leave revenue undriven and risk customer frustration.
- With Annual contribution per dress: ~$1275+, it's a **high-ROIC growth asset**. Capital deployed into inventory pays back quickly and repeatedly.
- RTR should **prioritize inventory depth first** (core dresses) and add high-margin, operationally simpler categories
- RTR should establish a trusted brand in a high-emotion category by **creating a new consumer behavior** and **building designer relationships**
- **Scaling inventory** from ~1,000 to ~5,000 dresses could unlock $5M+ in incremental annual revenue

In short, Given fast inventory payback, capital is not a risk, under-investing is!